

CAPITAL MARKETS

JLL's \$24M Student Housing Refi Shows Floating-Rate Debt Still Has a Bid for the Right Basis

A three-year floating-rate loan near UF reveals the underwriting condition that separates investable deals from attractive stories.

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A source-grounded Light Tower Insight. The complete note follows.

The \$24 million refinancing of The Row student housing property near the University of Florida begins with a more revealing fact: the lender was willing to underwrite a three-year floating-rate loan at this moment in the cycle. That is not a given in mid-2026.

JLL Capital Markets secured the financing for borrower The Ardent Cos. through GID, a private lender. The property at 407 S.W. 13th St. in Gainesville contains 182 beds across seven stories, plus 4,315 square feet of ground-floor retail. The loan is floating rate and carries a three-year term.

The transaction matters because it shows that floating-rate debt has not disappeared from commercial real estate. It has become conditional. The condition is a basis that lets the lender underwrite downside before upside, a sponsor with balance-sheet credibility, and an asset whose cash flow is tied to a demand driver that has not weakened.

University of Florida enrollment has grown steadily. Gainesville student housing occupancy has remained tight. Those fundamentals are not the story. The story is that a lender looked at a 182-bed property, a floating-rate structure, and a three-year term and decided the risk was worth the spread.

That decision reveals the underwriting margin that separates an investable deal from an attractive story. The Row is not a trophy. It is a functional, stabilized asset near a major public university. The borrower is not a first-time sponsor. The Ardent Cos. has a track record. The loan is not large relative to the asset value, though the exact LTV is not disclosed. The floating rate means the lender is not locking in a fixed coupon for a decade. It can reprice at maturity or sooner if the rate environment shifts.

For the borrower, the three-year term is a clock. Floating-rate debt at this stage of the cycle is not a long-term solution. It is a bridge. The Ardent Cos. is buying time to execute its operating plan, stabilize or grow net operating income, and refinance into longer-term fixed-rate debt when the rate environment and lender appetite align. The risk is that rates stay elevated or that the property's cash flow does not grow enough to support a fixed-rate refi at a lower LTV.

For GID, the lender, the calculus is different. A three-year floating-rate loan on a stabilized student

housing asset near a top-tier public university offers yield without duration risk. If the borrower performs, GID collects floating-rate coupons and exits at maturity. If the borrower does not perform, GID has a short-duration loan on an asset with structural demand. The lender is not betting on a rate decline. It is betting on cash flow stability and sponsor capability.

This is the kind of transaction that appears when the fixed-rate market is expensive or uncertain, and when floating-rate lenders see an opportunity to deploy capital at wide spreads without taking construction or lease-up risk. It is not a signal that student housing broadly is easy to finance. It is a signal that the right asset, the right sponsor, and the right basis still clear.

The broader pattern is worth watching. Student housing has become a favored subsector in the post-2021 repricing because its demand is tied to enrollment, not discretionary renter choice. But not every student housing property gets financed. The ones that do tend to share characteristics: proximity to a strong university, institutional-quality construction, professional management, and a sponsor who can bring equity or absorb a floating-rate coupon.

Owners of student housing assets that lack those characteristics should not assume this deal opens the door for them. Lenders are not underwriting the sector. They are underwriting the specific basis, the specific cash flow, and the specific sponsor. The Row refinancing is evidence that capital is available for deals that meet a narrow set of underwriting criteria. It is not evidence that the market has normalized.

For sponsors with maturing loans on student housing, the implication is clear. The window for floating-rate bridge financing is open, but it will not stay open indefinitely. The time to refinance is when the asset is stabilized, the sponsor is credible, and the lender is willing. Waiting for fixed rates to fall or for the market to become more accommodative is a bet that may not pay off.

The deal is not proof that student housing lending is back to pre-2021 levels. It is proof that capital is still being deployed, but only where the underwriting margin is clear. The Row refinancing is a reminder that in this market, the question is not whether capital is available. The question is whether your asset meets the conditions that make a lender believe.

SOURCES

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<https://rebusinessonline.com/jll-secures-24m-refinancing-for-student-housing-property-near-university-of-florida/>

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